

Explore Microsoft Dynamics 365 Finance and Operations Together

Microsoft Dynamics 365

SAURABH BHARTI

Purchase Order Charges Accounting in Microsoft Dynamics 365 Finance and Operations

In this blog, we will talk about purchase order charges, how these charges can be accounted in different scenarios. Many times, we are not sure how we can manage different scenarios and account the charge value. In this blog we will see different ways of accounting charge value.

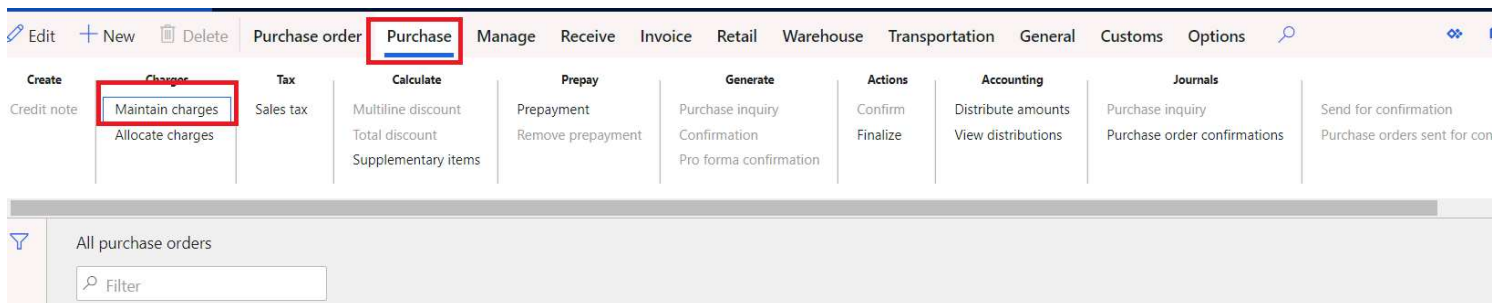
So, lets first understand how charges can be allocated to purchase order.

Add and Allocate charges to Purchase order/Purchase Invoice:

This process will explain how you can add and allocate charges to purchase order lines/ invoice lines.

Step-1: Add Charges

Navigate to, Purchase order > Select Purchase order > Purchase tab on Action Pane > Maintain charges



Charges code	Description	Category	Assessable value	Assessable value...	Charges value	Allow edit	Currency	Broker contract...	Sales tax gr
CH01	Freight Same Vendor Expense	Fixed		0.00000	2,000.00	Yes	INR		

Step-2: Allocate Charges

Navigate to, Purchase order > Select Purchase order > Purchase tab on Action Pane > Allocate charges

How you want to apply amount equally or per qty/pcs

Allocate charges to order lines

To all lines

To apply value only to specific lines not on all lines

Only to lines which have Received status

To only lines which are type of Stocked

Select required option and click allocate

Allocate **Cancel**

Now, let us explore different scenario of charges accounting:

1. Same Vendor and Expense

This is the case when same vendor is adding some additional charges in PO invoice and customer wants to account those charges as "Expense". So, after applying charges to the invoice accounting entry should be:

Vendor Credit

Expense (Freight) Debit

Setup:

Charges codes

Charges code	Description	Item sales tax group	Maximum amount
CH01	Freight Same Vendor E...		0.00
CH02	Freight Same Vendor a...		
CH03	Third Party Vendor and...		

Posting

DEBIT		CREDIT	
Type	Ledger account	Type	Customer/Vendor
Posting	Order, freight	Posting	
Account	600120	Account	

Tax information

TAX INFORMATION

Exempt: ☒ No

Non-GST: ☐ No

Service category: Inward

Service accounting codes:

HSN codes:

ITC Category: Input

TAX RATE TYPE

Foreign trade

Annotations:

- Expense account for charge (points to Account 600120)
- Applicable tax information if require on charge value (points to Tax information section)
- If require we can specify maximum limit for charge value (points to Maximum amount 0.00)

Transaction:

Follow Add charges process on Purchase order or while creating Purchase invoice and allocate to Lines.

2. Same Vendor and Load Charges on Inventory

This is the case when same vendor is adding some additional charges in PO invoice and customer wants to add that cost to Product cost/Inventory cost. So, after applying charges to the invoice accounting entry should be:

Vendor Credit

Inventory-Item Debit

Setup:

Charges codes

Charges code	Description	Item sales tax group	Maximum amount
CH02	Freight Same Vendor a...		0.00

Posting

DEBIT		CREDIT	
Type	Item	Type	Customer/Vendor
Posting		Posting	
Account		Account	

Annotations:

- This is add charge value to Item cost (points to DEBIT Type Item)

Transaction:

Follow Add charges process on Purchase order or while creating Purchase invoice and allocate to Lines.

3. Third Party Vendor and Load Charges on Inventory

This is the case when same vendor is adding some additional charges in PO invoice and customer wants to add that cost to Product cost/Inventory cost. So, this should be done in two steps, Step-1 Add charges cost to inventory and Step-2 account third party vendor invoice.

Step-1:

Interim Main Account Credit

Inventory-Item Debit

Setup:

The screenshot shows the 'Charges codes' setup page. On the left, a list of charges codes is displayed with 'Ch03 Third Party Vendor and L' selected. The main area shows the details for 'Ch03 Third Party Vendor an...'. The 'Posting' section is highlighted with a red box, showing the following configuration:

DEBIT		CREDIT	
Type	Item	Type	Ledger account
Posting		Posting	Order, freight
Account		Account	606200

To the right of the 'Posting' section, a red note states: 'Interim main account for third party invoice'.

Transaction:

Follow Add charges process on Purchase order or while creating Purchase invoice and allocate to Lines.

Step-2:

Transaction:

Post third party invoice using Invoice journal with following accounting entry:

Vendor Credit

Interim Main Account Debit

Note: End of these two steps Interim account will be zero and third party will have its vendor balance, also cost will be added to product cost.

Note: You can follow these steps in any of the sequence.

Note: Interim Account balance will also help in reporting about third party charges.

4. Apply Charges after Purchase order Invoice Posting

Navigate to, Accounts Payable > Inquiries and Reports > Invoices > Select Invoice > Charges > Charges adjustment

Invoice journal

Filter

Overview Lines Bill of entry Remittance

Preview/Print Voucher View distributions View accounting **Charges** Transactions Posted sales tax Posted withholding tax VAT deferment E-Way bill

Invoice account	Purchase order	Date	Charges	Invoice	Voucher	Currency	Sales tax	Invoice amount	Company	Sales order	Voucher
INMF-000001	INMF-000007	5/1/2015	Adjustment	INV03	INMF-110000...	INR	1,980,905.60	33,127,105.60			
INMF-000001	INMF-000012	8/1/2015		INV07	INMF-110000...	INR	2,311,056.80	38,648,656.80			

Allocate charges

Charges allocation: Net amount Posting date: 8/16/2020 Stocked: No Allocate charges to lines: All lines Credit correction: No

Overview

+ New - Delete

Charges code	Description	Charges value	Currency	Fixed	Sales tax group	Item sales tax group
Ch03	Third Party Vendor and Load on ...	200.00	INR	Fixed		

Select charge code which you want to apply

If charges are specific to any invoice line, select this option and apply to line or uncheck this

☒ Show selections and clear specific lines

Select inventory dimensions Select all Clear all

Include	Purchase order	Line number	Item	Procurement category	Stocked	Product type	Quantity	Amount	Product name
☒	INMF-000007	1	M0013		☒	Item	15,573.00	15,573,000.00	Subwoofer
☒	INMF-000007	2	M0003		☒	Item	18,688.00	9,344,000.00	Tweeter Speaker
☒	INMF-000007	3	D0003		☒	Item	15,573.00	6,229,200.00	Standard Speaker

OK Cancel

That is, it, for this blog. Hope this will help you to define charges for your customer's business process.

Thank You!!! Keep reading sharing.

 ACCOUNT PAYABLE

 AX  AXAPTA  CHA
 DYNAMICS  DYNAMICS



65FO  D365GST
 DPARTYCHARGES

Published by Saurabh Bharti

As a recognized Microsoft Valuation Professional (MVP) , specializing in Microsoft Dynamics 365 Finance and Operations, I bring over a decade of diversified experience across multiple industries. Throughout my career, I have honed my skills in delivering innovative solutions and successfully navigating Dynamics 365 implementations. With a passion for sharing knowledge, I actively contribute to the Microsoft Dynamics community through insightful blogs and engaging YouTube content. By disseminating valuable insights, best practices, and real-world experiences, I have established myself as a trusted source within the community. Whether I'm immersed in hands-on projects or sharing insights online, my aim is to empower individuals and organizations with the necessary knowledge and skills to excel in the dynamic realm of Microsoft Dynamics 365 Finance and Operations. I invite you to join me on this rewarding journey of continuous learning and collaboration! [View all posts by Saurabh Bharti](#)

14 comments

1. **Hyder** says:

APRIL 7, 2021 AT 7:56 PM

Nice share..very well explained..very nice presentation of scenarios

REPLY

2. **Aish** says:

MAY 6, 2021 AT 7:24 PM

Please advise how I can draw a report on Dynamics 365 listing all the purchased stock per supplier

REPLY

o **Saurabh Bharti** says:

MAY 17, 2021 AT 7:16 PM

You can run couple of reports...best option will be running or utilising power BI embedded

REPLY

o **Ahesha** says:

MAY 17, 2021 AT 7:46 PM

Is it possible for you to send a screen shot or maybe type out the steps for this power BI.

Thank you, Ahesha

o **Saurabh Bharti** says:

MAY 18, 2021 AT 1:50 PM

For this you have to enable and configure power bi in d365..if it's enable then you can go to procurement and there you can run purchase analysis report

3. **Alkesh** says:

JUNE 17, 2021 AT 6:54 PM

Hi Saurabh, Trying to implement Same Vendor and Load Charges on Inventory. Charge have been created. But cannot see in the drop down for allocation.

REPLY

- o **Saurabh Bharti** says:

JUNE 17, 2021 AT 7:00 PM

What is the charge setup? Credit shouldn't be vendor....because it can load on inventory but can not update vendor liability

REPLY

4. **Raj Bahadur** says:

JULY 13, 2021 AT 3:59 PM

very well explained

REPLY

5. **Muhammed Hussain** says:

FEBRUARY 7, 2022 AT 11:04 PM

hi, if i have service charge which i incurred through PO, if I want to add the same charge to an other PO for product purchase (both are different vendors) what should i do ?

Scenario : I created a PO for my raw material and confirmed and again created a PO for a service item (eg Say : Freight service provider). now i would like to add this service to the raw material.

REPLY

- o **Saurabh Bharti** says:

FEBRUARY 17, 2022 AT 5:46 PM

For service PO, at service item posting you can use a interim account where debit will be posted.

Now you can create a charge code with debit item and credit ledger, ledger define same interim ledger.

Now you can add this charge code to raw materials PO which will add cost to item and credit to interim ledger which will be offsetted by other po debit

REPLY

6. **Devesh** says:

DECEMBER 22, 2022 AT 12:11 PM

Hello Sir,

I added the charges through TPV and charges load to inventory.

In this I posted an invoice journal for the vendor who provided me services for that purchase order invoice, after that on invoice journal form updated charges through adjustment on purchase order invoice for which TPV provided me service, how it will reflect in cost of my inventory.

REPLY

7. **Romil** says:

AUGUST 22, 2023 AT 5:22 PM

Hi Sourabh

In case of partial purchase order invoice charges added in purchase order should get apportion based on quantity invoice ? what are the setup to achive this

REPLY

- **Saurabh Bharti** says:
AUGUST 22, 2023 AT 8:19 PM
Did you try qty based allocation

REPLY

- **Romil** says:
AUGUST 23, 2023 AT 3:11 PM
Tried actually it is working for Indian localisations but not for US localisation

[Blog at WordPress.com.](#)